

		Accordingly, Defendant's motion is granted with 15 days leave to amend.
57	<i>Reyes vs. Tight Quarters, Inc.</i>	Defendant Tight Quarters, Inc.'s Motion to Compel Arbitration and Stay the Proceedings Pending Completion of Arbitration is GRANTED. Defendant moves to compel enforcement of an arbitration agreement it contends Plaintiff Enrique Reyes signed when he completed his "onboarding" documents. The Federal Arbitration Act (FAA) applies to any dispute concerning an arbitration provision in a contract "evidencing a transaction involving commerce." (9 U.S.C. § 2.) This phrase is construed broadly and may apply to disputes between residents of the same state and in-state transactions that "affect" interstate commerce. (Khalatian v. Prime Time Shuttle, Inc. (2015) 237 Cal.App.4th 651.) "The 'principal purpose' of the FAA is to 'ensur[e] that private arbitration agreements are enforced according to their terms.'" (Lacayo v. Catalina Restaurant Group Inc. (2019) 38 Cal.App.5th 244, 257, citing AT&T Mobility LLC. v. Concepcion (2011) 563 U.S. 333, 344, 131 S.Ct. 1740.) "California law, like federal law, favors enforcement of valid arbitration agreements." (Baxter v. Genworth North America Corp. (2017) 16 Cal.App.5th 713, 721, citation omitted.) Arbitration provisions are to be interpreted broadly and "should be upheld unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute." (EFund Capital Partners v. Pless (2007) 150 Cal.App.4th 1311, 1321, citations omitted.) A party seeking to compel

arbitration under section 1281.2 must plead and prove (1) the existence of a written arbitration agreement and (2) that the other party has refused to arbitrate. (Code Civ. Proc., § 1281.2; Mansouri v. Sup. Ct. (2010) 181 Cal.App.4th 633, 641.)

“Whether an agreement to arbitrate exists is a threshold issue of contract formation and state contract law.” (Avila v. Southern California Specialty Care, Inc. (2018) 20 Cal.App.5th 835, 843-844.) The party seeking to compel arbitration has the initial burden of “proving the existence of a valid agreement to arbitrate.” If that burden is satisfied, “the party opposing arbitration must prove by a preponderance of the evidence any defense to the petition.” (Avery v. Integrated Healthcare Holdings, Inc. (2013) 218 Cal. App. 4th 50, 59, citations omitted.)

Existence of an Agreement to Arbitrate

The Court finds Defendant has met its burden of showing that Plaintiff entered into an arbitration agreement that requires arbitration of the claims Plaintiff asserts in this action. The arbitration agreement states, in relevant part, that: “I and Tight Quarters Inc. (the “Company”) agree to utilize binding individual arbitration to resolve all disputes that might arise out of or be related in any way to my application for employment and/or employment by the Company. Such disputes also include claims that the Company might bring against me, such as, for example, theft of money or trade secrets, breach of confidentiality agreement, or breach of a contract. I and the Company each specifically waive our respective rights to bring such claims against the other in a court of law and to have a trial by jury....” (Vega Decl. at ¶ 10, Exh. B.)

In his opposition, Plaintiff does not challenge the assertion that he was presented with the “onboarding” documents; or, that the documents included the arbitration agreement; or, that the signature on the agreement is genuine. Nor does Plaintiff challenge whether his employment claims would be encompassed by the arbitration agreement. Instead, Plaintiff claims he is a “native Spanish speaker” and that he is “not fluent in English.” Plaintiff further claims that he “did not read or understand anything that [he] was signing” and that “Defendant’s agents did not explain the significance of any documents, including the arbitration agreement,” to him. (ROA 43 [Reyes Decl. at ¶¶ 4-5.]) Even assuming Plaintiff did not understand what he was signing, generally, this does not invalidate an arbitration agreement. “Generally, a party may not avoid enforcement of an arbitration provision because the party has limited proficiency in the English language. If a party does not speak or understand English sufficiently to comprehend a contract in English, it is incumbent upon the party to have it read or explained to him or her. [citations.]” (See *Caballero v. Premier Care Simi Valley LLC* (2021) 69 Cal.App.5th 512, 518-519.)

Further, the Court finds the testimony from Defendant’s office manager, Sabrina Vega, credible. She states that when she asked Plaintiff if he wanted the English or Spanish version of the onboarding documents, Plaintiff “requested the English version of the new hire forms.” (Vegas Decl. at ¶ 7.)

In sum, the Court finds Defendant met its burden of showing the existence of an agreement to arbitrate.

Defenses To Enforcement

Plaintiff contends the court should deny this motion, because the arbitration agreement “permeated with unconscionability.” (Opp’n at p. 5.) For an arbitration agreement to be void under the doctrine of unconscionability, “the agreement must be both procedurally and substantively unconscionable.” (Wherry v. Award, Inc. (2011) 192 Cal.App.4th 1242, 1246, citing Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114–121.) Procedural unconscionability focuses on “oppression” or “surprise” due to unequal bargaining power. Substantive unconscionability, on the other hand, looks at “overly harsh” or “one-sided” results. “But the two elements need not exist to the same degree. The more one is present, the less the other is required.” (Ibid.) Under Armendariz, arbitration clauses in employment contracts should provide for: a neutral arbitrator; adequate discovery; a written award; and, no limitation on remedies. It also should not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum. (Armendariz v. Found. Health Psychcare Svcs., Inc. (2000) 24 Cal.4th 83, 102.)

Although there is some procedural unconscionability present, here, it does not exist to a “high” degree. As explained, above, the Court credits Ms. Vega’s testimony that Plaintiff chose to receive the documents in English when given an option to choose between English or Spanish. Although Plaintiff claims the agreement “omits the name of the arbitration provider and fails to include the applicable arbitration rules,” this argument cuts against